

CIRCULAR

SEBI/ HO/ MIRSD/ DOP2/CIR/P/2018/ 95

June 06, 2018

All Credit Rating Agencies Registered with SEBI

Dear Sir/ Madam,

Sub: Amendment to Securities and Exchange Board of India (Credit Rating Agencies) Regulations, 1999

1. Please find enclosed [Gazette Notification No. SEBI/LAD-NRO/GN/2018-15](#) dated May 30, 2018 in respect of Securities and Exchange Board of India (Credit Rating Agencies) (Amendment) Regulations, 2018.
2. In terms of Regulation 16(3) of SEBI (Credit Rating Agencies) Regulations, 1999, a CRA may withdraw a rating, subject to the CRA having:
 - i. rated the instrument continuously for 5 years or 50 per cent of the tenure of the instrument, whichever is higher.
 - ii. received an undertaking from the Issuer that a rating is available on that instrument.
3. At the time of withdrawal, the CRA shall assign a rating to such instrument and issue a press release, as per the format prescribed vide Circular dated November 01, 2016. The Press Release shall also mention the reason(s) for withdrawal of rating.
4. This circular is issued in exercise of the powers conferred by Section 11(1) of Securities and Exchange Board of India Act, 1992, read with the provisions of Regulation 20 of SEBI (Credit Rating Agencies) Regulations, 1999 to protect the interest of investors in securities and to promote the development of, and to regulate, the securities market.

Yours faithfully,

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